10. An Iso-quant curve is also known as
    a. Inelastic Supply Curve
    b. Inelastic Demand Curve
    c. Equi-marginal Utility
    d. Equal Product Curve

11. Mention the economies reaped from inside the firm
    a. financial
    b. technical
    c. managerial
    d. all of the above

12. Cobb-Douglas production function assumes
    a. Increasing returns to scale
    b. Diminishing returns to scale
    c. Constant returns to scale
    d. All of the above

13. Name the returns to scale when the output increases by more than 5%, for a 5% increase in the inputs,
    a. Increasing returns to scale
    b. decreasing returns to scale
    c. Constant returns to scale
    d. All of the above

14. Which of the following is not a characteristic of land?
    a. Its limited supply.
    b. It is mobile
    c. Heterogeneous
    d. Gift of Nature

15. Product obtained from additional factors of production is termed as
    a. Marginal product
    b. Total product
    c. Average product
    d. Annual product

16. Modern economists have propounded the law of
    a. Increasing returns
    b. decreasing returns
    c. Constant returns
    d. variable proportions.

17. Producer's equilibrium is achieved at the point where:
    a. Marginal rate of technical substitution(MRTS) is greater than the price ratio
    b. MRTS is lesser than the price ratio
    c. MRTS and price ratio are equal to each other
    d. The slopes of isoquant and isocost lines are different.

18. The relationship between the price of a commodity and the supply of commodity is
    a. Negative
    b. Positive
    c. Zero
    d. Increase

19. If average product is decreasing, then marginal product
    a. must be greater than average product
    b. must be less than average product
    c. must be increasing
    d. both a and c

Chapter-03.indd 77 1/2/2023 11:44:10 AM